

ASIA IN FOCUS

Cost of China's Retail Fuel Price Management Modest and Sustainable

- To mitigate the global energy-supply shock, Chinese policymakers have implemented a multi-pronged response encompassing domestic price interventions, temporary export restrictions, and import diversification, broadly in line with their past practice. At the core is a pricing mechanism where the government has limited the pass-through rate of global oil price increases to around half since the start of the Middle East conflict. This has partially shielded the domestic economy, albeit at the cost of margin compression for refiners and even fiscal burdens.
- China regulates domestic retail fuel prices through a mechanism anchored by a USD40-130/bbl international crude price corridor. Specifically, when international crude prices fall below USD40/bbl, retail fuel prices freeze, with the surplus directed to a Risk Reserve Fund. International prices above USD130 trigger retail price freezes and government subsidies for refiners. Within this range, full pass-through applies below USD80/bbl, while it shifts to partial pass-through above USD80/bbl.
- Historical patterns suggest that every 10% increase in Brent crude prices would raise domestic gasoline and diesel prices by around 5%, with variations by product and price level. Given that Brent crude has fluctuated within the USD80-130/bbl range in recent months, the pass-through rate is expected to remain modestly below its historical average, reflecting recent discretionary price interventions by the NDRC. We also estimate that every 10% increase in China's domestic retail fuel prices is associated with around 5% decline in domestic oil product retail sales volume historically.
- Since the start of the Middle East conflict, domestic oil product retail sales volume fell 17% yoy in March-April 2026, while average retail prices rose 17% yoy. This implies a larger demand response than historical patterns would suggest, likely because alternatives such as non-oil/gas energy supply and rapid EV adoption are now more widely available than in earlier oil-price upcycles.
- China's oil price interventions appear fiscally manageable, in our view. Based on our estimates, government intervention costs remain modest at around 0.3% of GDP annualized, and could be further mitigated by inventory valuation gains and stronger upstream profitability. This suggests that the broad government sector can comfortably absorb the cost if international prices continue to fluctuate within the recent range.

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Cost of China's Retail Fuel Price Management Modest and Sustainable

To mitigate the global energy supply shock triggered by the Middle East conflict and the closure of the Strait of Hormuz, Chinese policymakers have implemented a multi-pronged response encompassing domestic price interventions, temporary export restrictions, and import diversification, broadly in line with their past practice. At the core is a pricing mechanism overseen by the National Development and Reform Commission (NDRC), China's top economic planner. Since March 2026, the NDRC has partially insulated domestic retail fuel prices from international volatility by permitting only around half of global oil price increases to be passed through ([Exhibit 1](#)). These measures entail costs, as major state-owned refiners such as Sinopec and PetroChina are required to absorb margin compression, and the government may need to provide subsidies when international prices exceed certain thresholds.

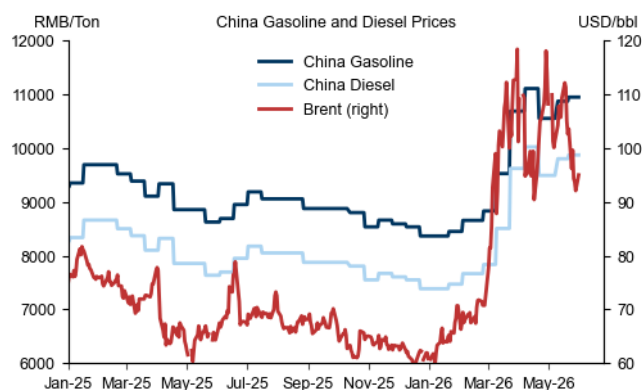
In this note, we explain China's domestic retail oil product pricing mechanism, quantify the pass-through from international crude price changes to domestic retail prices and consumption, and estimate the government costs for oil price interventions. China's oil price interventions appear fiscally manageable, in our view. We estimate that government intervention costs remain modest – below 0.3% of GDP annualized – and could be further mitigated by inventory valuation gains and stronger upstream profitability.

Beyond direct price intervention, China has also acted on the supply side by temporarily tightening exports of [refined oil products](#) – including gasoline, diesel, and jet fuel – as well as selected by-products such as [sulphuric acid](#) (a key input for fertilizers and copper mining). At the same time, it has significantly [increased oil imports](#) from Russia and Latin America to partially offset the sharp decline in Middle East supply,¹ while drawing on previously accumulated inventories to alleviate near-term shortages. Based on our estimates, total oil import volume fell 11% yoy in March–April, as a 38% yoy contraction in imports from the Middle East more than offset the gains from Russia and Latin America (+13% yoy and +64% yoy, respectively; [Exhibit 2](#)). [Our Global Commodities Strategy team's high-frequency tracker](#) pointed to a sharper drop in China's crude oil imports in May.

The government is also using the shock to accelerate China's long-term shift toward [energy independence](#). Policy support for the “[New Three](#)” industries – electric vehicles, lithium-ion batteries, and solar products – has been strengthened, reducing the economy's long-term exposure to fossil-fuel price jumps. Reflecting this shift, the [penetration ratio](#) of new energy vehicles (NEVs) – measured as the share of NEV in total auto sales – rose from 1% in 2016 to 54% in 2025, and increased further to [63% in May 2026](#), according to data from the China Passenger Car Association (CPCA). During the [Labor Day holiday](#) this year (1–5 May), [highway EV charging demand](#) jumped 52.8% yoy, meaningfully outpacing passenger trips via roads (+3.5% yoy). Within roads transportation, passenger flows via public transportation services gained 9.5% yoy, while self-driving trips only rose 2.6% yoy. These highlighted the elasticity of oil demand amid higher oil prices, with EV usage and public transportation replacing traditional Internal Combustion Engine (ICE) cars amid higher oil prices.

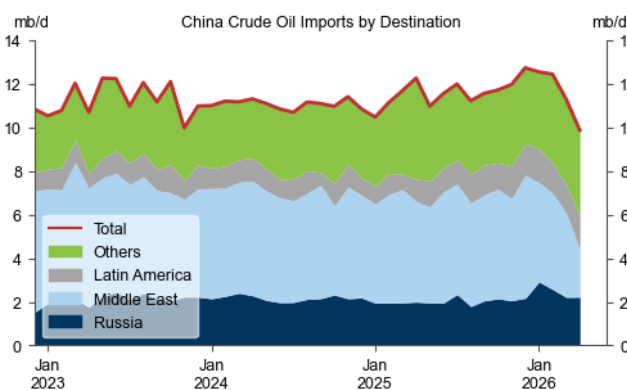
¹ Net imports accounted for 68% of China's domestic oil consumption in 2025, based on our Global Commodities Strategy team's tracking.

Exhibit 1: Domestic retail fuel prices have risen less than Brent crude oil prices since the start of the Middle East conflict



Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 2: Increased imports from Russia and Latin America have partially offset falling Middle East supply



Source: China Customs, Wind, Goldman Sachs Global Investment Research

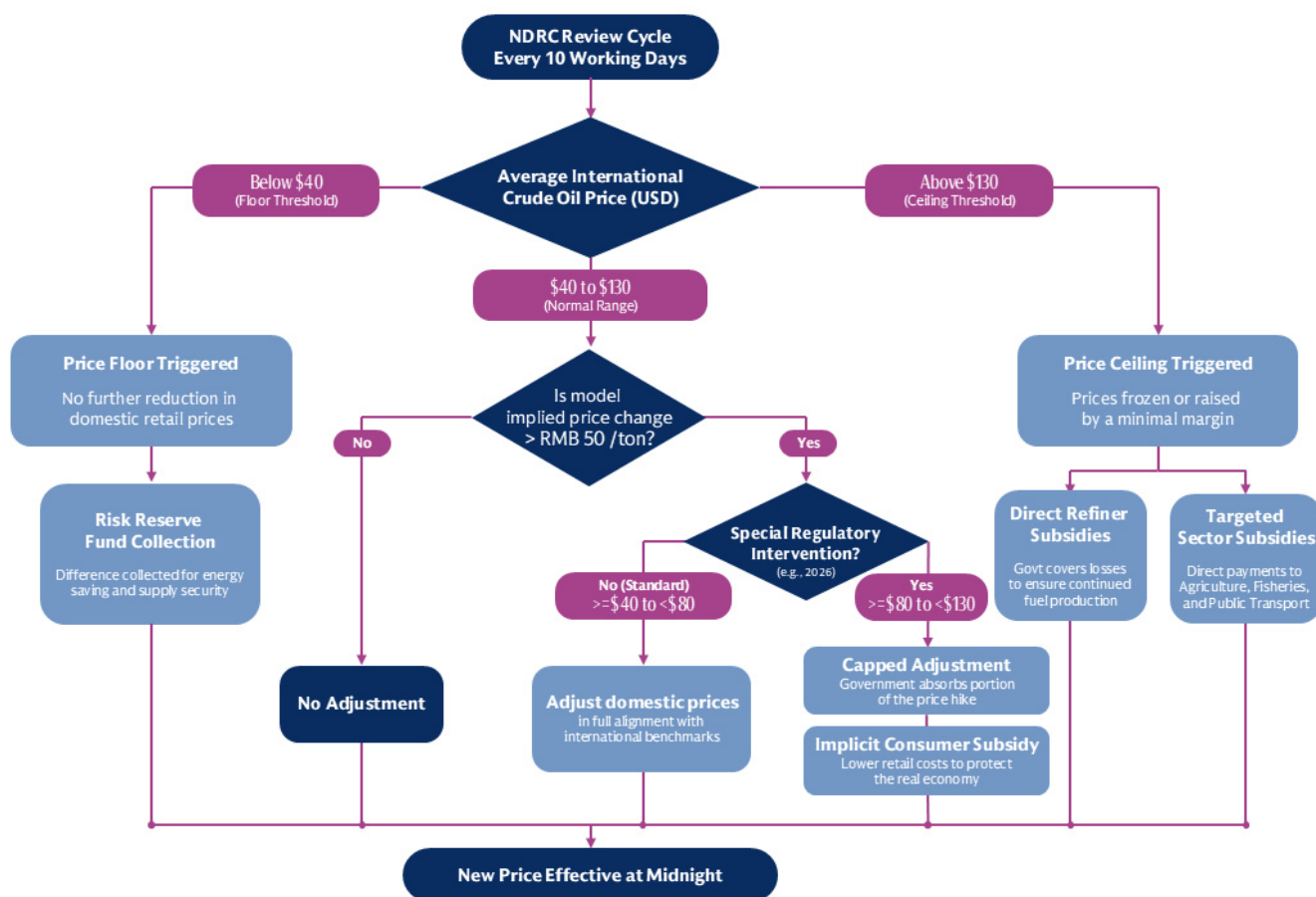
How China's domestic retail oil product pricing framework works

China's domestic retail oil products pricing framework uses a ceiling mechanism to shield the domestic economy from extreme global volatility ([Exhibit 3](#)). When international crude prices reach or exceed **USD130/bbl**, the NDRC typically suspends retail price increases to protect consumers, with the resulting losses absorbed through government transfers to major state-owned refiners. The framework is complemented by a fuel-price linkage system that provides targeted support to essential and price-sensitive sectors such as agriculture and public transport once domestic prices cross specified thresholds.

Conversely, when international prices fall below **USD40/bbl**, a floor mechanism applies. Rather than allowing refiners to retain the windfall from unchanged retail prices, the surplus is directed to a state-managed Risk Reserve Fund. The fund is earmarked for strategic uses, including energy conservation and emissions reduction, fuel-quality upgrades to meet higher national standards, and measures to strengthen energy security.

When international prices fall between the floor of **USD40/bbl** and the ceiling of **USD130/bbl**, **USD80/bbl** serves as an additional threshold. Below USD80/bbl, the NDRC allows full pass-through to domestic retail prices. Above USD80/bbl, it permits only partial pass-through of the calculated increase and requires refiners to absorb part of the shock through lower processing margins.

Although these price interventions do not involve direct cash transfers to consumers, they remain an important policy tool for stabilizing domestic prices during severe global energy-supply shocks. In addition, the NDRC's reference price is not tied to a single benchmark. Instead, it is based on a weighted basket of international crude prices. While the exact weights are not disclosed to avoid market speculation, industry consensus, including sources quoted by CCTV, identifies Brent, Dubai, and Minas as the main components.

Exhibit 3: An illustration of China's domestic retail oil product pricing framework

Source: NDRC, Goldman Sachs Global Investment Research

The impact of global oil price changes on domestic retail markets

Changes in international crude prices are only partially transmitted to China's domestic retail fuel prices. Our time series regressions based on monthly data from 2017-26 suggest that every 10% increase in Brent crude price would raise domestic gasoline and diesel prices by around 5% ([Exhibit 4](#)). The pass-through rate is generally lower when Brent prices are closer to the ceiling or floor than when they are within a more normal range (also see our earlier studies [here](#) and [here](#) for more analyses on the pass-through impact). Given that Brent crude has fluctuated within the USD80-130/bbl range in recent months, the pass-through rate is expected to remain modestly below its historical average, reflecting recent discretionary price interventions by the NDRC.

Exhibit 4: Every 10% increase in Brent crude price would raise domestic gasoline and diesel prices by around 5%

Sample period: 2017M1 - 2026M5								
Dependent variables	Log (Gasoline Price)				Log (Diesel Price)			
Explanatory variables	Full sample	Brent >= 70 and <100	Brent < 70 or >=100	Brent >= 80 and <130 (recent range)	Full sample	Brent >= 70 and <100	Brent < 70 or >=100	Brent >= 80 and <130 (recent range)
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Log (Brent oil price)	0.54 (16.44)***	0.55 (5.51)***	0.49 (13.80)***	0.49 (5.07)***	0.50 (8.73)***	0.78 (9.80)***	0.46 (7.57)***	0.31 (5.03)***
Log (USDCNY)	0.75 (4.36)	0.64 (6.56)***	0.60 (1.78)*	0.42 (2.89)***	1.07 (5.04)***	0.69 (3.98)***	1.27 (5.11)***	0.32 (1.64)
Constant	1.85 (1.63)	2.51 (3.17)***	2.95 (1.30)	5.19 (5.23)***	-0.28 (-0.21)	1.02 (0.82)	-1.44 (-0.91)	5.48 (3.87)***
# observations	113	53	60	34	113	53	60	34
Adjusted R-squared	0.88	0.66	0.87	0.40	0.86	0.78	0.85	0.46

Note: T-stats in robust standard errors are reported in parentheses;

***, **, * denotes statistical significance at 1%, 5%, and 10% levels, respectively.

We use Brent oil price at USD70/bbl and USD100/bbl as cut-off levels to divide our full-sample, with sufficient number of observations for sub-sample regressions. USD70/bbl and USD100/bbl have the same absolute distance to their neighboring intervention thresholds (USD40/bbl and USD130/bbl, respectively). Brent prices between USD80/bbl and USD130/bbl refer to the range in recent months, though the sample size is smaller than other regressions.

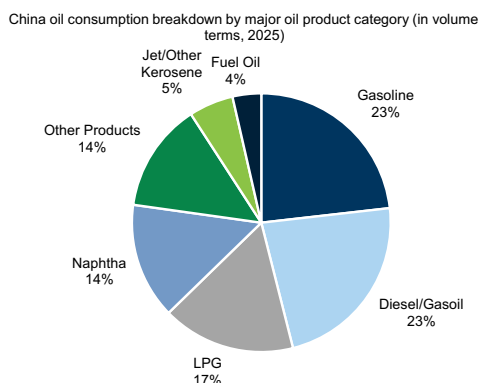
Source: Goldman Sachs Global Investment Research

Pass-through rates differ across refined oil products depending on the degree of administrative pricing control, end-demand conditions, and market structure. Gasoline and diesel together accounted for 46% of China's total oil product consumption in 2025 ([Exhibit 5](#)), which means the NDRC-controlled segment covers less than half of all oil products. For other products such as LPG, naphtha, and fuel oil, refiners generally have greater flexibility to pass through changes in international prices to downstream buyers. Accordingly, the weighted average pass-through rate across all oil products should be higher than the around 0.5 that we estimated on gasoline and diesel prices.

The NBS measure of retail sales for gasoline and other oil products by enterprises above the designated size captures sales by the "Big Three" state-owned oil giants (i.e., Sinopec, PetroChina, CNOOC) and a small number of large private firms.² Compared with the broader NDRC measure of apparent oil product consumption, the NBS series excludes sales by smaller gas stations, direct supplies to industry and construction, as well as aviation and shipping sales. We estimate that NBS retail sales volume of gasoline and other oil products accounted for roughly 75% of NDRC apparent oil product consumption in recent years ([Exhibit 6](#)).

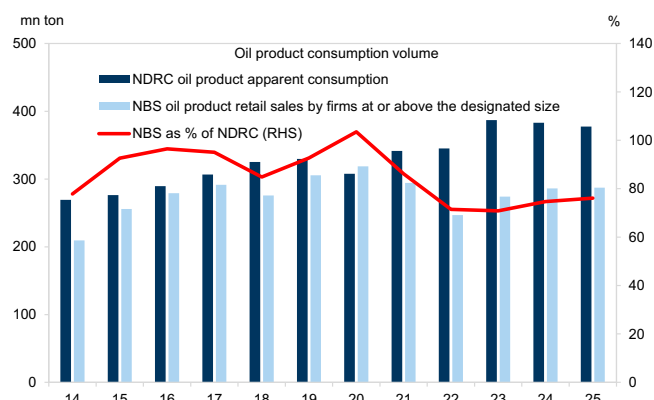
² The NBS defined "enterprises at or above the designated size" refer to wholesale enterprises with an annual main business income of RMB20mn and above, retail enterprises with an annual main business income of RMB5mn and above, and accommodation and catering enterprises with an annual main business income of RMB2mn and above. Retail sales of gasoline and other oil products by enterprises at or above the designated size refer to the "retail sales" part by the above-mentioned entities.

Exhibit 5: Gasoline and diesel together accounted for less than half of China's domestic oil product consumption in 2025



Source: Wood Mackenzie, Data compiled by Goldman Sachs Global Investment Research

Exhibit 6: NBS oil product retail sales volume accounted for around 75% of NDRC oil product apparent consumption in recent years



NBS oil product retail sales volume is based on GS estimates using the weighted average of domestic refined oil prices.

Source: NDRC, Wind, CEIC, Goldman Sachs Global Investment Research

Recent government interventions to reduce global oil price pass-through

Since the Middle East conflict that began from end-February, the NDRC has adjusted domestic retail oil product prices seven times as of early June, including five increases and two cuts ([Exhibit 7](#)). During the two largest hikes, on 23 March and 7 April, the authority capped the increase at roughly half the level implied by the standard pricing formula, with the intervention cost absorbed by state-owned refiners through reduced processing margins. Across all the seven adjustments, we estimate that the NDRC has passed through around half of the increase in international crude prices to domestic retail oil prices (as the actual cumulative increase in domestic fuel prices since March is 47% less than model implied).

Exhibit 7: A summary of NDRC adjustments to domestic retail oil product prices since the start of the Middle East conflict (as of early June)

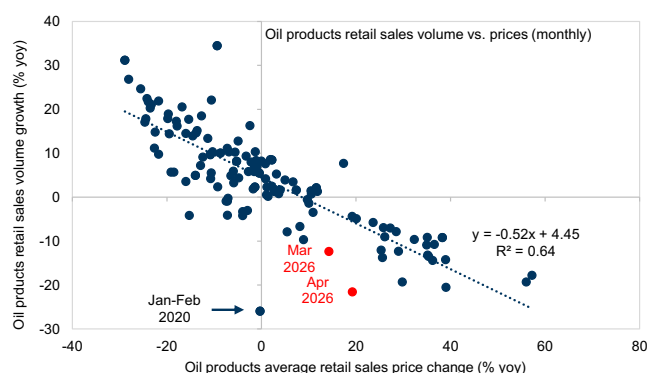
Domestic Fuel Price Adjustment Date	Gasoline Price Change (RMB/ton)		Diesel Price Change (RMB/ton)		Price Intervention?
	Actual	Model Implied	Actual	Model Implied	
9 Mar 2026	+695	+695	+670	+670	No
23 Mar 2026	+1160	+2205	+1115	+2120	Yes, Partial
7 Apr 2026	+420	+800	+400	+770	Yes, Partial
21 Apr 2026	-555	-555	-530	-530	No
8 May 2026	+320	+320	+310	+310	No
21 May 2026	+75	+75	+70	+70	No
4 Jun 2026	-525	-525	-505	-505	No
Since Mar 2026	+1590	+3015	+1530	+2885	Yes, Partial (47% less than model implied)

Source: NDRC, Goldman Sachs Global Investment Research

A larger-than-normal contraction in domestic oil consumption

Higher retail prices weigh on end demand. Using monthly data from January 2015 to April 2026, we estimate that every 10% increase in China's domestic retail oil prices is associated with around 5% decline in domestic oil product retail sales volume ([Exhibit 8](#)). However, since the start of the Middle East conflict, domestic oil product retail sales volume fell 17% yoy in March-April 2026, while average retail prices gained 17% yoy, based on our estimates ([Exhibit 9](#)). This implies a larger demand response than historical patterns would suggest, likely because alternatives such as non-fossil energy supply, rapid EV adoption, and urban public transportation are now more widely available than in earlier oil-price upcycles.

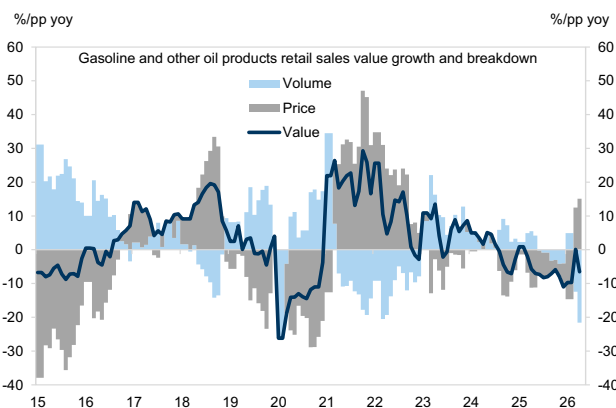
Exhibit 8: For every 10% domestic retail oil price increase, China's domestic oil product retail sales volume would decline by around 5%



Our sample period includes January 2015 – April 2026.

Source: NDRC, Wind, CEIC, Goldman Sachs Global Investment Research

Exhibit 9: Domestic retail oil product sales volume contracted by 17% yoy during March-April whereas retail prices gained 17%



Source: NBS, Wind, Data compiled by Goldman Sachs Global Investment Research

Government intervention cost appears modest and sustainable ...

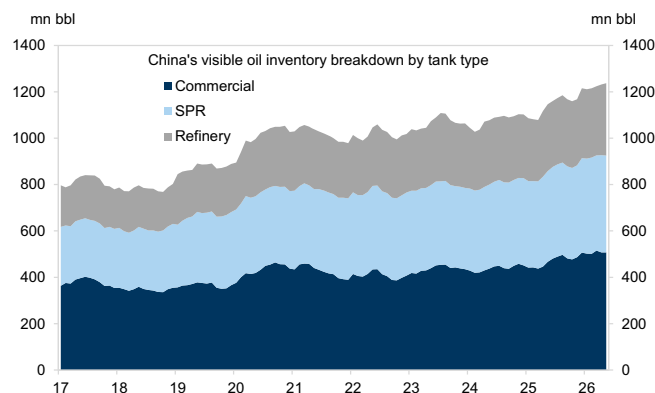
In a counterfactual scenario with international price increases fully passed through to domestic retail prices but no change to domestic oil consumption, we estimate that weighted average retail fuel prices in March-April 2026 would have been 15% higher than observed. On an annualized basis, the gap in domestic oil consumption value between this counterfactual scenario and the actual outcome would be around RMB400bn, equivalent to 0.3% of 2026 nominal GDP. Because January-February was not yet affected by the global energy-supply shock, the full-year 2026 intervention cost should be lower, at roughly 25bp of GDP. These numbers are very small relative to our forecasts for China's effective and augmented fiscal deficits this year (5.3% and 12.0% of GDP, respectively), suggesting that the broad government sector can comfortably absorb the intervention cost if international prices continue to fluctuate within the recent range.

... and could be offset by other buffers

That said, we do not expect the intervention cost to fully fall on the government and the refining sector, because part of it should be offset by other buffers, including mark-to-market gains on oil inventories and stronger margins in exploration and production.

As policy priorities have increasingly focused on securing domestic energy supply chains, China has continued to build oil inventories over the past decade through the national Strategic Petroleum Reserve (SPR), commercial reserve, and refinery reserve (Exhibit 10). Stockpiling accelerated last year when oil prices were relatively low, echoing the pattern seen in 2019-20 (Exhibit 11). With oil prices higher this year, oil refiners may have benefited from mark-to-market gains on those inventories.

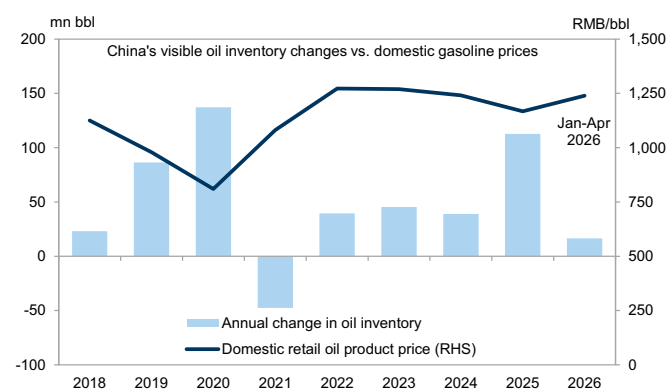
Exhibit 10: China's visible oil inventory level has been on the rise since 2022 ...



SPR refers to the national Strategic Petroleum Reserve.

Source: Kpler, Goldman Sachs Global Investment Research

Exhibit 11: ... with rapid stockpiling in 2025 when oil prices were relatively low

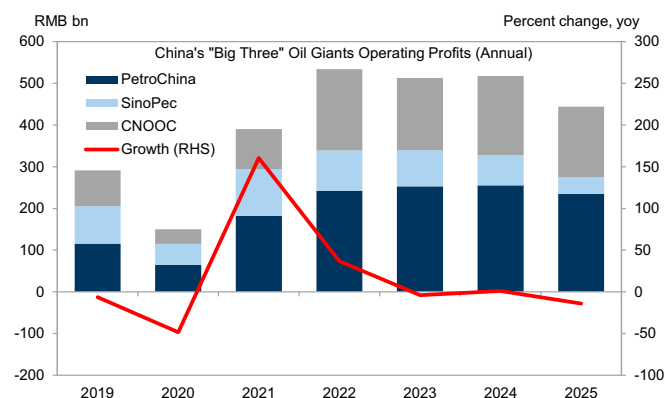


Our measure of China's visible oil inventory includes Strategic Petroleum Reserve (SPR), commercial reserve and refinery reserve.

Source: Kpler, Wind, Goldman Sachs Global Investment Research

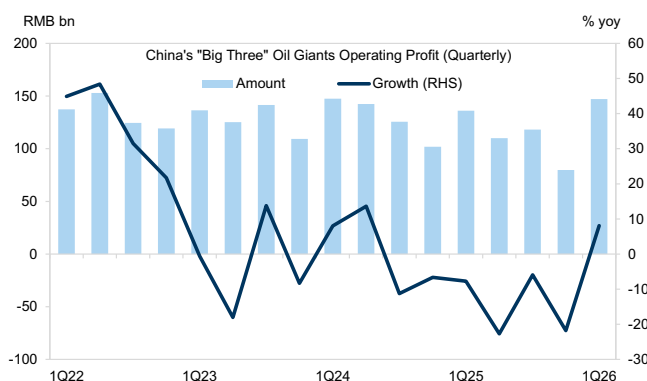
Moreover, among all the businesses of oil companies, although refining and chemicals operations may come under pressure, higher oil prices should support profits in exploration and production. The annual operating profits of China's "Big Three" oil companies averaged RMB480bn during 2021-25, peaking in 2022 when the Russia-Ukraine war drove oil prices sharply higher (Exhibit 12). On a quarterly basis, despite the recent oil-price shock, the "Big Three" saw operating profit growth rebound in Q1 2026 (Exhibit 13).

Exhibit 12: China's "Big Three" Oil Giants operating profits averaged RMB480bn over the past five years



Source: Company data, Wind, Data compiled by Goldman Sachs Global Investment Research

Exhibit 13: Despite the global energy-supply shock, oil giants operating profit growth rebounded in Q1 2026



Source: Company data, Wind, Data compiled by Goldman Sachs Global Investment Research

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